

classes of holders who have failed to approve in the requisite percentage; but the exact extent of these powers is still uncertain.

3. The reorganization plan must meet a number of standards of fairness prescribed in the statute, including provisions relating to voting power, publication of reports, etc. The court must specifically approve the new management.

4. The activities of protective committees are subject to close scrutiny and supervision. Reorganization costs of all kinds, including compensation to all and sundry, must receive court sanction.

5. As distinct from reorganization procedure proper, the Trust Indenture Act prescribes a number of requirements for trustees acting under bond indentures. These are designed both to obviate certain conflicts in interest that have caused considerable complaint and also to insure a more active attitude by the trustee in behalf of the bondholders.

There is no doubt at all in our minds that in the typical case the recent legislation⁴ will prove highly beneficial. It should eliminate a number of the abuses formerly attaching to receiverships and reorganizations. It should also speed up materially the readjustment process. This should be true, especially, after more definite standards of fairness in reorganization plans have come to be established, so that there will not be so much room as heretofore for protracted disputes between the different ranks of security holders.⁵

⁴ Legislation analogous to the mechanics of the 77B and Chandler Act provisions was applied to real estate readjustments in the Schackno and Burchill Acts passed by the New York State Legislature in 1933. In the same year The Companies' Creditors Arrangement Act, adopted in Canada, provided that insolvent Canadian Companies might escape proceedings under the Bankruptcy Act and work out compromises with creditors with the sanction of the court. When properly approved, such compromises are binding on minority groups. See W. S. Lighthall, *The Dominion Companies Act 1934, annotated*, pp. 289, 345 ff., Montreal, 1935.

⁵ The tendency of the S.E.C. advisory opinions, as well as the findings of the I.C.C. in railroad reorganizations, has been strongly in the direction of eliminating stockholders when there appears to be no chance that earnings will cover former interest charges. For a discussion of this point by one of the authors, see Benjamin Graham, "Fair Reorganization Plans under Chapter X of the Chandler Act," *Brooklyn Law Review*, December 1938.

Despite the improvements in the law, railroad reorganizations have been subject to extraordinary delays since 1933. In our opinion, however, this was due not so much to weaknesses remaining in the statute as it was to the extraordinary problem of devising fair plans for extremely complicated corporate structures when the question of future earning power was both highly controversial and of critical importance.